Banking, Credit, and Payments Explained

Understanding how everyday banking products work helps you avoid unnecessary fees and interest and keep more of your money.

Account types

A savings account holds money you do not need immediately and pays interest. A current or checking account is built for everyday transactions and usually pays little or no interest. Most people keep both, moving spare cash into savings to earn a return while keeping enough in the current account for bills.

How credit cards work

Credit cards let you borrow up to a limit and repay later. If you pay the full statement balance by the due date, you usually pay no interest. Carrying a balance triggers high interest charges, and paying only the minimum can keep you in debt for years. Treat a credit card like a convenient way to pay, not as extra income.

Credit scores

A credit score summarises how reliably you repay debt. Lenders use it to decide whether to approve loans and what interest rate to offer. On-time payments and keeping your balances low relative to your limits (low credit utilisation) raise your score; missed payments and defaults lower it.

Loan interest

Loan interest can be simple or compound, and the rate may be fixed or variable. A fixed rate stays the same for the loan term and gives predictable payments. A variable rate moves with the market and can rise or fall, changing your monthly cost.

Digital payments

Digital payments such as bank transfers, e-wallets, and QR-code systems (for example PayNow in Singapore) let you move money instantly without cash. They rely on secure authentication and on settlement networks between banks to confirm each transaction.

Deposit insurance

Deposit insurance protects customers if a bank fails. Schemes such as the FDIC in the United States or the SDIC in Singapore guarantee deposits up to a set limit per account holder, which maintains confidence in the banking system.